

Contestant Number: _____

Time: _____

Rank: _____



BANKING & FINANCE

(145)

STATE 2021

CONCEPT KNOWLEDGE:

Multiple Choice (35 @ 2 points each) _____ (70 points)

APPLICATION KNOWLEDGE:

Short Answer (6 @ 2 points each) _____ (12 points)

Credit Card Costs _____ (24 points)

Bank Reconciliation _____ (12 points)

Compound Interest _____ (14 points)

TOTAL POINTS _____ ***(132 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice:

1. Peer-to-peer payments
 - a. are issued by the federal government.
 - b. review information rather than make actual transactions.
 - c. allow for immediate money transfer from one person to another.
 - d. allow customers to conduct financial transactions on their bank's secure website.
2. Money center banks
 - a. have no physical location or building.
 - b. control the money supply.
 - c. are found in small towns and rural areas.
 - d. are very large, often international banks, whose primary customers are businesses, banks, and governments.
3. Insurance that covers the bank from losses due to robberies or employee theft is called a(n)
 - a. reserve requirements.
 - b. liability insurance.
 - c. mutual fund.
 - d. banker's blanket bond.
4. Money placed in an account is called a
 - a. checking account.
 - b. deposit.
 - c. loan.
 - d. withdrawal.
5. Organizations that provide personal loans to individuals who may have poor credit are called
 - a. consumer finance companies.
 - b. discount brokers.
 - c. securities firms.
 - d. business finance companies.
6. A financial institution that provides services primarily for consumers including deposit accounts and personal loans is a(n)
 - a. investment bank.
 - b. commercial bank.
 - c. money center bank.
 - d. unit bank.
7. A service that provides funds to cover a check written on an account with insufficient funds is called
 - a. overdraft protection.
 - b. surcharge service.
 - c. underwriting spread.
 - d. cash management protection.

8. The stated cost to a borrower to borrow money is called the
 - a. discount rate.
 - b. prime rate.
 - c. amortized rate.
 - d. interest rate.
9. Deposits that are kept back and *not* available to make loans are called
 - a. reserves.
 - b. aggregates.
 - c. commodity money.
 - d. representative money.
10. Which type of organization is owned by its members?
 - a. Commercial Bank
 - b. Savings Association
 - c. Online Bank
 - d. Credit Union
11. The interest banks pay to borrow money from a Federal Reserve Bank is called the
 - a. prime rate.
 - b. reserve requirement.
 - c. discount rate.
 - d. interest discount.
12. The true rate of interest paid over the life of a loan is called the
 - a. finance charge.
 - b. prime rate.
 - c. interest rate ceiling.
 - d. annual percentage rate.
13. The total dollar amount of interest plus other fees paid on the loan is the
 - a. finance charge.
 - b. annual percentage rate.
 - c. prime rate.
 - d. interest rate.
14. Debt issued by the government or a company is called a(n)
 - a. commercial loan.
 - b. stockholder's equity.
 - c. bond.
 - d. personal loan.
15. A fee for breaking an account's term is called the
 - a. finance charge.
 - b. penalty.
 - c. interest.
 - d. discount.

16. A loan that does *not* have to be paid in full by a specific date is a(n)
- closed-end loan.
 - secured loan.
 - open-ended loan.
 - unsecured loan.
17. An assessment of a borrower's ability to repay a loan is called
- character.
 - creditworthiness.
 - capacity.
 - capital.
18. The process of creating a repayment plan to repay debts without selling property during bankruptcy is called
- reorganization.
 - liquidation.
 - repossession.
 - default.
19. The ABA routing number
- identifies the account owner of the checking account.
 - is a six-digit number displayed on a check.
 - identifies the financial institution paying the value of the check to the payee.
 - is none of the above.
20. A negotiable instrument is created and signed by a
- maker.
 - payee.
 - drawee.
 - bank.
21. What entity requires a financial institution to state that it is an equal housing lender when it advertises?
- Department of Housing and Urban Development
 - Federal Deposit Insurance Corporation
 - National Banking Association
 - Federal Reserve
22. Which employee is responsible for reviewing a loan application and approving or denying the loan?
- Mortgage Banker
 - Lending Officer
 - Underwriter
 - Compliance Officer

23. The use of fraudulent e-mails and copies of legitimate websites to trick individuals into providing personal information is
- phishing.
 - scamming.
 - identity theft.
 - frauding.
24. Which act established the Federal Deposit Insurance Corporation?
- Depository Institution Deregulation and Monetary Control Act
 - Garn-St. Germain Act
 - Emergency Banking Act of 1933
 - Federal Reserve Act
25. Which statement describes the key feature of the debt snowball method?
- Ranking your debts from largest to smallest, so you can pay off the largest first.
 - Ranking your debts from smallest to largest, so you can pay off the smallest first.
 - Making the minimum payment on all debts and then putting the rest of your money into investments.
 - Making the minimum payments on all debts and then distributing the remainder between the debts.
26. Your checking account does *not* have overdraft protection. You have \$10 in your account. You use your debit card to buy lunch for \$12, a movie ticket for \$12 and dinner for \$15 in the same day. What is the outcome?
- Your account will be closed.
 - You will likely be charged an overdraft fee for each transaction and need to repay the bank for funds overdrawn.
 - The bank will not let you overdraw your account, so your card will be denied in these 3 instances.
 - The bank will provide you with 5 days to add funds to your account to cover the overdraft and will not charge you a fee.
27. Which combination of interest rates and fees are the better deal assuming you have a savings account with an average balance of \$500?
- An account with 10% annual interest rate and \$5/month in fees
 - An account with 2% annual interest rate and no fees
 - An account with 5% annual interest rate and \$3/month in fees
 - An account with 12% annual interest rate and a \$25 monthly fee for dropping below \$2,000
28. If you deposit \$200 into a CD with an interest rate of 1% for 3 years, how much simple interest will you earn after 3 years?
- \$3
 - \$6
 - \$12
 - \$15

29. Assume you are earning 0.5% interest on your savings account while inflation is running 2% per year. Which statement is *true*?
- a. Your purchasing power is increasing by 0.5% per year.
 - b. Your purchasing power is increasing by 2.0% per year.
 - c. Your purchasing power is decreasing by 1.5% per year.
 - d. Your purchasing power is decreasing by 2.0% per year.
30. You are 22 years old and would like to invest \$2,000 into a U.S. Treasury Note earning 7.5% interest compounded annually. How many times will your investment double before you withdraw it at age 70?
- a. 9.6 times
 - b. 5 times
 - c. 7.5 times
 - d. There is insufficient information to calculate.
31. A regular savings account at a credit union is called a
- a. share draft account.
 - b. share account.
 - c. security account.
 - d. money market account.
32. An electronic network for financial transactions that processes credit and debit transactions is a(n)
- a. financial institution.
 - b. financial intermediary.
 - c. automated clearinghouse.
 - d. depository institution.
33. The party who signs the negotiable instrument making it payable is a
- a. commercial bank.
 - b. vendor.
 - c. drawee.
 - d. drawer.
34. This law protects consumers from unfair and deceptive credit card practices.
- a. Credit Card Act
 - b. Federal Credit Reporting Act
 - c. Fair Credit Billing Act
 - d. Glass-Steagall Act
35. The act of a bank taking property away for default on a loan is called
- a. probation.
 - b. repossession.
 - c. bankruptcy.
 - d. reorganization.

Short Answer (6@ 2 points = 12 points)

A credit card has an APR of 16% on purchases. The balance transfer APR is 8%. There is a 2% balance transfer fee.

1. What are the total fees paid to transfer \$500 to the card? _____
2. What is the monthly periodic rate on purchases, rounded to two decimal places?

3. If there is a balance of \$227.83 that is subject to the monthly periodic interest rate for purchases, how much is the finance charge? _____

The cost of a leased vehicle is \$496 per month for 36 months. The vehicle can be purchased at the end of the lease for an additional \$16,200. If the vehicle is purchased outright, the cost is \$822 per month for three years after making a \$2,000 down payment. Round all numbers to 2 decimal places.

4. What is the total cost of the lease? _____
5. What is the total cost to purchase the leased car? _____
6. What is the total cost to purchase the car outright? _____

Credit Card Costs (24 points)

Credit Card Current Balance: \$2,000
Minimum Payment: 1.5% of current balance
APR 15%

Complete the table calculating a periodic monthly finance charge. Calculate the new current balance after the finance charge and purchases. Calculate the minimum payment each month and determine a final balance after payment.

	Previous Balance	Finance Charge	New Purchase	Current Balance	Payment	Final Balance
Jan	\$2,000.00		\$100			
Feb			\$100			
Mar			\$100			
Apr			\$100			
May			\$100			

Bank Reconciliation (12 points)

Your bank statement shows an ending balance of \$793.57. The checks that have *not* cleared the bank are #278 for \$174.85 and #280 for \$32.78. Your checkbook register shows a balance of \$923.03. There is a bank service charge of \$5.00 and outstanding deposits of \$312.09. You discovered that you did *not* record a \$20.00 ATM withdrawal. Reconcile your checkbook register to the bank statement.

BANK RECONCILIATION			
Checkbook Balance \$ _____	Bank Statement Balance \$ _____		
Bank Service Charge _____	Outstanding Deposits _____		
Error(s) _____ _____	Error(s) _____ _____		
	Outstanding Checks		
	Checks Outstanding		
	Number	Amount	
Total			
Adjusted Balance: \$ _____	Adjusted Balance: \$ _____		

Compound Interest (14 points)

Complete the table for a 3-year \$1,000 Certificate of Deposit earning a 4% APR with interest compounded semiannually.

Year	Beginning Balance	1 st Half Year's Interest	2 nd Half Year's Interest	Total Interest	Ending Balance
1	\$1,000				
2					
3					